

several years to come, most likely not until the early or middle eighties, at least." The first decline approximating those magnitudes occurred in 1987, a full nine years later.

The crash of 1987 occurred almost as if it had desired to accommodate the description given near the end of Chapter 8 of *Elliott Wave Principle*. More important, though, is that it occurred despite virtually universal disbelief that anything like October 1929 could ever happen again. History may eventually forget the litany of arguments for why a crash was impossible. "We have no 10% margin like the 1920s." "We have no pool operators as we had in the 1920s." "Government won't let it happen." "Institutions control the market; professional money managers will never panic." "Futures and options allow hedging, which will dampen extremes." "There are too many safeguards."

The mere fact that crashes occur demonstrates that the governor of stock price behavior is mass psychological change, not the latest news. There was no proportionately important news event just prior to the 1987 crash, despite several imaginative but transparently weak analyses to the contrary made months after the event in an attempt to justify the theory that markets move because of news. Other attempts were made to "explain" that the crash was due to the *mechanics* of market operation, specifically, computerized futures-based arbitrage, ironically called "portfolio insurance." This idea can be dismissed with two observations. First, the panic was global and occurred in markets that had no futures contracts. Second, declines in those markets without futures trading were

Experts agree they can't agree on cause of crash

WASHINGTON — Despite four months of intensive study on the Oct. 19 stock market crash by some of the best minds in the nation, no one really knows what caused the plunge, let alone what needs to be done to prevent another one, a blue ribbon panel of experts agreed Wednesday.